

Handout 2.17: Sell, Hold, Buy Decision Grid

Name: _____ Date: _____ Investor number: _____

Read this first. It is 1928. The Round 6 prices are on the board and your total is probably the highest it has ever been. Before you buy, sell or borrow a dollar, fill in this grid. That is the rule today and tomorrow: a written decision before any trade. Selling, holding, buying more and borrowing can all be right. What I am scoring is whether you decided or whether your stomach decided for you.

Step 0: my body and my ledger (Round 6, 1928)

Stress signs I notice right now (circle any): fast heartbeat / want to act right now / everyone else is buying and I am not / cannot think about anything else / hands shaky / none

Feeling word (English or Spanish): excited, greedy, nervous, calm, scared / emocionado, codicioso, nervioso, tranquilo, asustado

My feeling: _____

One step before I decide: stop, breathe once, name what I am choosing. Done? yes / no

My total right now, at Round 6 prices: \$_____ It was \$_____ in Round 5 (1911).

Which of my companies rose the most? _____ Which line did not move (the bank pays 3 percent and never falls)? _____

The margin rule, in three lines. The broker will lend me up to the cash I hold right now, at Round 6 prices. The loan goes on the margin line of my ledger. Next round the broker wants it back in cash. If I cannot pay, I sell shares at next round's prices until I can. If that is not enough, the loan takes everything and my total is \$0.

Cash I hold: \$_____ The most I could borrow: \$_____

The five-step decision model

Picture cues: a question mark (name the choice), a list (list options), a scale (weigh each against what matters), a check mark (decide), a mirror (look back).

Step 1: Name the choice

The choice I am making is what to do with my _____ (the company or companies that rose most, or the cash I am holding).

Step 2: List the options

Option	What it means today
SELL	Sell some or all of a company that rose and

	hold the cash, or move it to the bank.
HOLD	Keep everything I have. Do not trade. Wait.
BUY	Buy more of a company with the cash I already have.
BUY ON MARGIN	Borrow from the broker, up to my cash, and buy more with it. Pay it back next round in cash.

Step 3: Weigh each option against what matters

Fill every box with a number or a short phrase. Use your own holdings.

What matters	If I SELL	If I HOLD	If I BUY	If I BUY ON MARGIN
If prices keep rising next round, what happens to my total?				
If prices fall by half next round, what happens to my total?				
If I owe the broker and prices fall, can I pay? (a number)	no loan	no loan	no loan	
How will I feel about this next round, either way?				
Does this fit the pie I chose in Round 5?	yes / no	yes / no	yes / no	yes / no

Step 4: Decide (Round 6)

My decision (circle one): SELL / HOLD / BUY / BUY ON MARGIN / a mix (say what):

Shares, if selling or buying: _____ shares of _____ at \$_____ Borrowing, if any: \$_____

One reason, with a number or a risk level (not a feeling alone):



More room: _____

My Round 6 trades (fill in as you make them; if you change your mind from Step 4, write why in the last column):

Company	Buy or sell	Shares	Price	Same as Step 4? If not, why?



Step 4 again: Round 7, October 1929 (fill this before any trade tomorrow)

Stress signs I notice right now (circle any): fast heartbeat / tight stomach / want to act right now / cannot think about anything else / hands shaky / none

Feeling word: scared, worried, calm, angry, sick / asustado, preocupado, tranquilo, enojado, mareado

My total right now, at Round 7 prices: \$_____ It was \$_____ yesterday, at Round 6 prices.

Which of my companies fell most? _____ Which line did not fall?

Margin call box (only if I borrowed): I owe \$_____ Cash I have: \$_____ Still owed: \$_____ Shares I must sell at Round 7 prices to cover it: _____ shares of _____ at \$_____ = \$_____ (the ledger's margin section has the full table). Done before trading? yes / no

Two facts before I touch anything: I have not lost anything until I sell, unless I borrowed. The bank did not move.

My Round 7 decision (circle one): SELL / HOLD / BUY / a mix (say what):

Shares, if selling or buying: _____ shares of _____ at \$_____

One reason, with a number or a risk level (not a feeling alone):

More room: _____

My Round 7 trades:

Company	Buy or sell	Shares	Price	Same as the decision above? If not, why?

Step 5: Look back (fill this in at the end of Round 7)

My Round 6 decision, in the boom, was (circle one): a plan / a rush

My Round 7 decision, in the crash, was (circle one): a plan / a panic

My evidence, a number from the ledger (what I bought, sold or held, at what price, and what it is worth now): _____



More room: _____

What I would tell a friend who is looking at the same ledger right now:

Two crashes on our own board (Round 7 notes; fill in from the dispatches and the price table)

	The Panic of 1893 (Round 3)	The crash of October 1929 (Round 7)
What caused it (from the dispatch)		
How far two companies on our board fell (from the price table, with the two prices)		
What held, or fell least		
What happened next to people who sold at the bottom (1893: look at Round 4. 1929: we find out in Round 8.)		